

**SECURITIES AND EXCHANGE BOARD OF INDIA
SECONDARY MARKET DEPARTMENT**

Mittal Court, A Wing, Gr. Floor,
224, Nariman Point, Mumbai 400 021

SMD/POLICY/CIR- 39/2000

August 24, 2000

The President/Executive Director/
Managing Director of
All the Stock Exchanges

Dear Sir,

Corrigendum to Circular no. SMDRP/POLICY/CIR-31/2000 dated July 27, 2000.

Please refer to our above said circular regarding Automated Lending and Borrowing Mechanism (ALBM). It is hereby informed that para 5.3.3 of the said circular regarding the Incremental ALBM Margin should read as under :

5.3.3 Incremental ALBM Margin

In case *the position* in ALBM in any exchange, in any scrip, exceeds the parameters mentioned below, the additional margin shall be levied, in addition to the ALBM margin, at a rate which is higher of the rates determined as per the tables below :

<i>Net Outstanding Market Position (Rs. In crores)</i>	Rate of Margin		<i>Deferred Net Positions in ALBM (in number of shares as % of total number of shares paid up)</i>	Rate of Margin
Exceeding 75 and up to 100	5%		Exceeding 3% going upto 4%	5%
Exceeding 100 and up to 150	8%		Exceeding 4% going upto 5%	8%
Exceeding 150 and up to 200	12%		Exceeding 5% going upto 6%	12%
Exceeding 200 and up to 300	17%		Exceeding 6% going upto 7%	17%
Exceeding 300 and up to 400	23%		Exceeding 7% going upto 8%	23%
Exceeding 400	30%		Exceeding 8%	30%

The positions referred to would exclude the positions pertaining to the pure securities borrowers to the extent that the collateral securities are kept with the clearing house/corporation.

Once this margin is imposed by any Exchange having ALBM or MCFS facility, the other Exchanges having ALBM or MCFS will also follow the same from the start of next settlement.

It may be noted that the other provisions of the said circular remain the same.

Yours faithfully,

P.K.BINDLISH
DIVISION CHIEF
SECONDARY MARKET DEPARTMENT
E-Mail : pkb@sebi.gov.in

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